

Weakness Because of the Discretionary Right to Omit Dividends. This point of view is highly inexact, because it fails to take into account the wide middle region occupied by companies neither unqualifiedly “good” nor unqualifiedly “bad,” but subject to variations and uncertainties in either direction. If it could be assumed that directors will always pay preferred dividends when possible (and hence will suspend payment only under conditions which would compel default of interest if the issue were a bond), then even in the intermediate situations the preferred stockholder’s status would not be greatly inferior to the bondholder’s. But in actual fact this is not the case, because directors frequently exercise their discretion to withhold preferred dividends when payment is by no means impossible but merely inconvenient or inexpedient. It is considered an approved financial policy to sacrifice the preferred stockholder’s present income to what he is told is his future welfare; in other words, to retain cash available for dividends in the treasury to meet future emergencies or even for future expansion.

Even if it be conceded that such a practice may ultimately be advantageous to the preferred stockholder, the fact remains that it subjects his income to a hazard not present in the case of a similarly situated bond. If such a hazard is at all substantial, it automatically disqualifies the preferred issue as a fixed-value investment, because it is the essence of such investments that the income must be considered entirely dependable. Stating the point more concretely, any preferred stock subject to a real danger of dividend reduction or suspension will fluctuate widely in market value. It is a point worth noting that in all cases where the dividend *could* be continued, but instead is withheld “for the sake of the stockholders’ future advantage,” the quoted price suffers a severe decline, indicating that the investment market does not agree with the directors as to what is really in the best interests of the preferred stockholders.

Conflicts of Interest. Nearly every investor would rather have his income continued, even at possible risk to the future of the business. There is evidently a basic disagreement, amounting almost to a logical contradiction, between what the investor considers to be his individual advantage (*viz.*, the continuance of his income at all costs) and what he seems willing to admit may be sound corporate policy (*viz.*, the suspension of dividends for the sake of the future). In this connection, the question of a possible conflict of interest between the preferred and the common stockholders is of